LAW Capsule

Unit 2 - Dividends



Sections -

- 123 - declaration of dividend
- 124 - unpaid dividend account
- 125 - Investor Education and Protection Fund
- 127 - punishment for failure to distribute dividend

Declaration of dividend 123(1)

Dividend shall be declared only out of

- Current year profits → After providing for depreciation
- Previous FY profits → After providing for depreciation
- Money provided by CG or SG → for payment of dividend

Dividend can be declared → Only out of free reserves

Before declaration → Carried over previous FY losses and accumulated depreciation → Required to be set off against profit of current FY

Transfer to Reserves

Proviso 1 of 123(1)

Transfer of profits to Reserves

- Not mandatory
- if company is willing to -

then transfer any appropriate percentage of its profits "Before" declaration of dividend

Declaration of dividend

- when there is inadequacy of profits
- or
- Absence of Profits

The Rate of dividend declared

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shall not exceed

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Average rate of dividend declared during the immediately preceeding 3 FYs

such dividend shall be declared only from

Free Reserves of the Co.

Amount drawn from free reserves

- shall not exceed
  - 10% of (PUSC + FR)
- shall be first utilised to set off losses
- after such withdrawal → Balance of Reserves
  - ↓
  - shall not fall below 15% of PUSC

LAW Capsule

Depositing the amount of dividend — 123(4)

Amount of dividend (including interim dividend) → shall be deposited in → a Separate Bank A/c maintained by a scheduled Bank → within 5 days from the date of declaration of dividend

Payment of Dividend — 123(5)

payable only to the Registered share holder
- or his order
- or his Banker

payable in cash not in kind
- cheque
- Dividend Warrant
- Any electronic mode

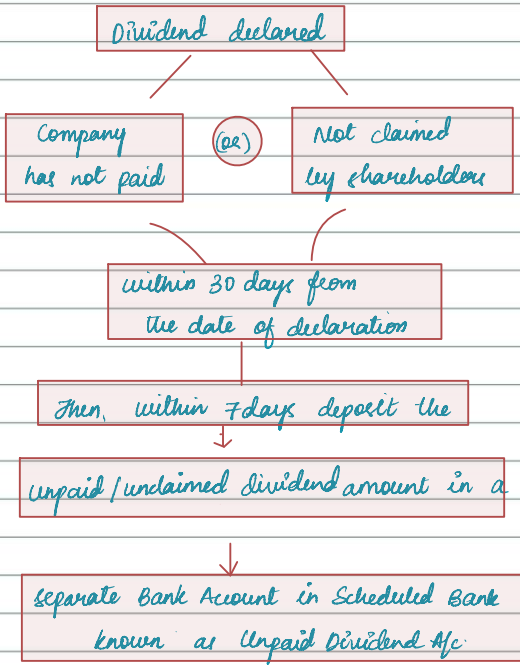
Prohibition on Declaration of Dividend — 123(6)

If company fails to comply with section 73 and 74 (acceptance of deposits & repayment) → shall not declare any dividends on its equity shares → as long as such failure continues

section 8 company → prohibited from paying any dividend

Unpaid dividend Account

124



If the company fails to deposit the amount in the unpaid dividend A/c

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Company has to pay 12% p.a. of interest on such dividend from the date of such default

If any amount of dividend remains unclaimed from unpaid dividend A/c

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for a period of 7 years

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on such expiry of 7 years

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Unclaimed amount of dividend + Interest

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shall be transfered to IEPF (Investor Education & Protection fund)

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within 30 days from the due date - after expiry of such 7 years

Investor Education and Protection fund

125

fund established by Central Government

The following amounts shall be credited to this fund:

- Amounts unclaimed or unpaid for a period of 7 years from the due date of payment
  - 1) Unpaid dividend
  - 2) Application money due for refund
  - 3) Matured deposits
  - 4) Matured debentures
  - 5) Redemption amount of preference shares
  - 6) Interest accrued on the above.
- Grants given by CG
- Donations given by CG, SG, Companies, Institutions
- Amount in General Revenue A/c of CG
- Income received from investments made by the fund
- such other amount as may be prescribed

The fund shall be utilized for:

- Refund in respect of
  - unpaid dividends
  - matured deposits etc.
- promotion of investor's education, awareness & protection
- Distribution of "disgorged Amount" among applicants who have suffered loss or as per the court orders
- reimbursement of legal expenses
- Any other purpose as may be prescribed

Punishment for failure to distribute dividend — 127

if the dividend has been declared, and the company fails to pay such amount within 30 days

- Every director involved shall be punishable
  - Imprisonment upto 2 years and
  - fine ₹1000 per day till the default continues
- Company has to pay
  - simple interest @ 18% p.a
  - till the default continues

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In the following cases, no offence shall be deemed to have been committed.

1) Dividend could not be paid due to operation of law.

2) Shareholder has given directions for payment of dividend
   - Such directions cannot be complied with
     - The same has to be communicated

3) there is a dispute regarding right receive the dividend.

4) The dividend has lawfully been adjusted by the company with any amount due from the shareholder.

5) for any other reason
   - failure to pay dividend
   - or
   - post warrant

   not due to any default by the Company.